

Everyday Rewards and Partner X Partnership Agreement

This draft agreement outlines the strategic partnership between Everyday Rewards and Partner X.

Strategic Partnership Agreement

BETWEEN:

Everyday Rewards (hereinafter referred to as "The Program")

AND:

Partner X (hereinafter referred to as "The Retailer")

EFFECTIVE START DATE: 01 JANUARY 2026

EFFECTIVE END DATE: 31 DECEMBER 2031

1. Term of Agreement

- **Initial Term:** This Agreement shall remain in full force and effect for a period of **five (5) years** from the Effective Date.
- **Extension Options:** The Retailer shall have the right to extend the partnership for two (2) additional terms of two (2) years each, provided written notice is given at least six (6) months prior to the expiration of the current term.

2. Financial & Billing Terms

- **Billings Rate:** The Retailer shall be invoiced at a rate of **\$0.01 (one cent) per point** issued to members via transactions at The Retailer's locations or digital platforms.
- **Minimum Participation Fee:** The Retailer agrees to a minimum monthly participation fee of **\$216,000**.
 - If total monthly point billings fall below this amount, the Minimum Participation Fee applies.
 - If point billings exceed this amount, The Retailer shall pay the actual billings total.

3. Marketing & Campaign Obligations

- **Below the Line (BTL) Campaigns:** The Program shall execute a minimum of **two (2) BTL campaigns per month** dedicated to The Retailer.
 - BTL activities include, but are not limited to, targeted email marketing, SMS notifications, and personalized "Just For You" in-app offers.
 - Audience segmentation for these campaigns will be determined jointly to maximize Member Sales.

4. Exclusivity & Competitive Restraint

- **Exclusivity Clause:** During the Term of this Agreement, The Program is strictly prohibited from entering into any commercial, marketing, or data-sharing partnerships with **Direct Competitors** of Partner X.
- **Definition of Competitors:** "Direct Competitors" includes any large-scale discount retailers or general merchandise retailers as defined in *Schedule A* (to be attached).
- **Restraint of Activity:** The Program shall not feature Direct Competitors in any multi-partner marketing collateral or offer integrated loyalty points for such entities.

5. Performance KPIs and Penalties

The success of the partnership is measured against two Primary KPIs: **Active Members** (members who have transacted at Partner X within a rolling 12-month period) and **Member Sales** (total revenue generated by Program members).

KPI Thresholds

- Agreed-upon targets for Active Members and Member Sales shall be reviewed annually.
- Performance is considered "Non-Compliant" if the actual results fall outside a **margin of $\pm 0.5\%$** of the agreed-upon KPI targets.

Penalty Clause

In the event that The Program fails to meet the KPI targets (specifically falling below the -0.5% threshold), The Program shall pay The Retailer a performance penalty.

- **Penalty Amount:** Equal to **10% of total Member Sales** recorded during the period of non-compliance.
- **Settlement:** Penalties shall be applied as a credit against the following month's Billings or Participation Fee.

6. Confidentiality & Data Security

Both parties agree to maintain the highest standards of data security regarding member information and proprietary business strategies. No sensitive data shall be disclosed to third parties without prior written consent, except where required by law.

7. Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the jurisdiction in which the partnership primarily operates.

Signatures

For Everyday Rewards (Managing Director ABC): MANAGING DIRECTOR ABC SIGNATURE

Date: 31 DECEMBER 2025

For Partner X (Managing Director XYZ): MANAGING DIRECTOR XYZ SIGNATURE

Date: 31 DECEMBER 2025

